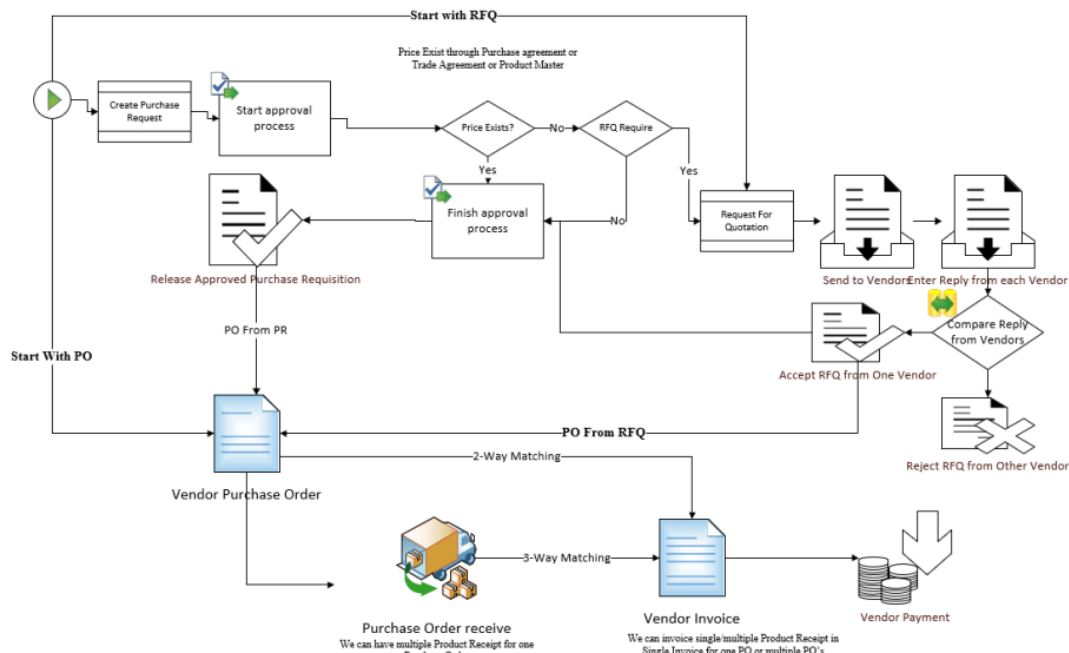


# Procure to Pay Process End to End.

Procure to Pay Process  
(Effective Way with New  
features and Power Automate)  
in Microsoft Dynamics 365  
Finance and Operations

Procure to pay process talks about how any purchase is initiated and executed completely to end of the life cycle by paying to the vendor. To Explain this complete process, I have prepared the business process flow:



Now, after seeing this process flow, here are the major documents which gets created throughout the life cycle depends on the process.

1. Purchase Request (PR)
2. Request for quotation (RFQ)
3. Purchase Order (PO)
4. Product receipt (GRN)
5. Purchase order invoice
6. Vendor Payment

So, as you can see in above process flow it really depends up on business process that how the purchase order should be created. You can create Purchase order in following ways:

1. PR > RFQ > PO (This process is used when purchase team wants to finalize prices using RFQ process)
2. PR > PO (This process is used when purchase team has price agreement with vendor but want to take through PR process)
3. RFQ > PO (This process is used basically for big purchases which starts with RFQ process initiated by purchase team)
4. Direct PO (This process is used basically for big purchases when purchase team has all price and vendor information agreed before)

So, depends on business scenario, system can be configured, and process can be designed.

we will take longest route From PR > RFQ > PO. So, let us start:

***Pre-requisites: You need to have following setups completed:***

- ***Product master***
- ***Site/Warehouse Master***
- ***Vendor master***
- ***Purchase requisition permissions (requestor and preparer)***
- ***Purchase requisition workflow (Mandatory)***

### **Step-1: Create PR**

Procurement and Sourcing > All Purchase requisition > Create Purchase requisition > enter all required details > Submit for approval

***\*\*\*Important Note: Please use Power Automate for defining PR workflow using business event, this will enable approvers to approve PR directly through Email. No need to login to D365***

<https://docs.microsoft.com/en-us/dynamics365/fin-ops-core/dev-itpro/business-events/how-to/how-to-workflow>

?

## Create purchase requisition

Purchase requisition

000033

Name

Request for Laptop

Requested date

8/28/2020



Accounting date

8/28/2020



**Request date should  
not be less than  
today's date**

☐

**SELECT DEFAULT PROJECT**

Buying legal entity

Project ID

OK

Cancel

Save + New Delete Workflow Purchase requisition Financials Options

Purchase requisitions

000033 : Request for Laptop

Submit for workflow after entering all data

Lines Header Draft

ADMINISTRATION

Purchase requisition 000033

Name Request for Laptop

Preparer Julia Funderburk

Status Draft

Requisition purpose Consumption

DATES

Requested date 8/28/2020

Accounting date 8/28/2020

BUSINESS JUSTIFICATION

Reason

Details

Status will be Draft initially

Purchase requisition lines

+ Add line + Add products External catalogs Cancel Remove Purchase requisition line Financials Inventory Tax information

| Line | Buying legal en... | Receiving opera... | Item number | Procurement category | Product name     | Site   | Warehouse | Quantity | Unit | Unit pri... | Net a... | Curr... | Vendor account |
|------|--------------------|--------------------|-------------|----------------------|------------------|--------|-----------|----------|------|-------------|----------|---------|----------------|
| 0    | INMF               | Finance            | M0008       | OFFICE MACHINES      | High End Cabinet | Site 1 | 11        | 1.00     | ea   | 0.00        | 0.00     | INR     |                |

Legal entity and operating unit for which request is created

Select either product or procurement category, if selecting product then make sure product category is mapped in master

Location at which material will be received

Price will be editable only if you have selected Procurement category not Product. For product it will come from master or agreement, or RFQ or directly enter in PO

Vendor account drop down will show only approved vendor for product

Purchase requisition review - Submit

Comment

Submit Cancel

**Note: If Price exists then we can approve PR and create Po directly with step -6**

## Step-2: Create RFQ

Procurement and Sourcing > All Purchase requisition Select Purchase requisition > Create RFQ

**Note: PR should be in "In review" status to create RFQ from PR**

The first screenshot shows the 'Purchase requisition' header for '000033 : Request for Laptop'. The status is 'In review'. The 'Request for quotation' button is highlighted in the top-left corner. A red box also highlights the 'In review' status in the top-right corner. A message at the top states: 'You can create RFQ only if status is In review'.

The second screenshot shows the 'Purchase requisition lines' section. A dialog box titled 'Select the lines to copy to the request for quotation' is open. It shows a table with one line selected: '000033' with item number 'M0008' and product name 'High End Cabinet / High End Ca...'. The 'Buying legal entity' is 'INMF'. The 'OK' button is highlighted in the bottom-right corner of the dialog.

The third screenshot shows the bottom of the SAP interface with a status bar message: 'Request for quotation with ID 'INMF-000001' created.' This message is highlighted with a red box.

### Step-3: Send RFQ to Vendor

Procurement and Sourcing > request for quotation > Open request for quotation > Header View > Add vendors > Click Send

Save + New Delete Quotation General Options

Maintain Copy **Replies** View Charges Score Journals

Cancel Copy from **Send** Manage replies Set RFQ reply defaults Compare replies Totals Manage charges Scoring criteria Request for quotation journals

Request for quotation case INMF-000001 : Julia Funderburk Lines **Header**

General

Bidding guidance items

Vendor

+ Add Remove Vendor search Auto-add vendors Manage reply Questions and answers

| Vendor account | Name                             | Lowest status | Highest status | Rank | Total score | Contact | Telephone |
|----------------|----------------------------------|---------------|----------------|------|-------------|---------|-----------|
| INMF-000001    | Alpine ski House India Ltd.      | Created       | Created        |      |             |         |           |
| INMF-000002    | Blue Younder India Airlines Ltd. | Created       | Created        |      |             |         |           |

#### Step-4: Enter Vendor Reply

Procurement and Sourcing > request for quotation > Sent request for quotation > Manage replies > Select vendor> Edit RFQ > Enter Details > Submit (repeat this for all vendors selected in RFQ)

+ New Delete Quotation General Options  
 Maintain Copy Process **Replies** View Charges Score Journals  
 Cancel Copy from Send **Manage replies** Totals Manage charges Scoring criteria Request for quotation journals  
 Set RFQ reply defaults  
 Compare replies **Click to enter reply from vendor**

Sent requests for quotations  
 Buyer group Vendor account  
 Filter  
 Request for ... Purchase type Document title Solicitation type Bid type Requester Highest status Vendor  
 INMF-000001 Purchase requisition Request for Laptop Open Julia Funderburk Sent Mul

Status is sent when we send RFQ to Vendor

Save Edit Reply General Options  
 Process Edit RFQ  
 Return Edit RFQ reply  
 Accept Manage charges  
 Reject

3

\*\*\* Enable Enter RFQ reply option in Procurement and sourcing > Setup > parameters > request for quotation

2

Request for quotation  
 INMF-000001 : Alpine ski House India Ltd.  
 Lines Header Reply progress  
 Not started

1

INMF-000001  
 INMF-000001  
 INMF-000001  
 INMF-000002  
 INMF-000001  
 INMF-000002

Purchase quotation header  
 Purchase quotation lines  
 + Add line Remove Set up Inquiries Inventory Bid line attachments  
 Expiration date and time Status Quantity Unit Unit price Discount Discount percent Net amount  
 8/28/2020 07:00:00 AM Sent 0.00 0.00 0.00 0.00

Save Submit Decline Reset from RFQ RFQ attachments Bid attachments Options  
 Page options Edit Share  
 Security diagnostics Record info Read mode Create a custom alert  
 Advanced filter or sort Change view Revert Manage my alerts

Request for quotation bid | INMF-000001 : ALPINE SKI HOUSE INDIA LTD.  
 Request for Laptop  
 Amendments  
 Questionnaire  
 Delivery and payment terms  
 Enter all tech information for each vendor N010  
 Lines  
 Reset from RFQ RFQ line attachments Bid line attachments  
 Type Procurement category Product name Item number Quantity Unit Unit price Net amount Comment  
 OFFICE MACHINES High End Cabinet / High End Ca... M0008 1.00 ea 2,000.00 2,000.00

Bid progress  
 Purchaser is updating

## Step-5: Compare replies and Finalize RFQ

Procurement and Sourcing > request for quotation > Received request for quotation >  
 Compare replies > Select vendor with selected line> Accept > Ok (System will automatically  
 reject the other vendor reply)



**Quotation Management Interface**

**Top Menu:** New, Delete, Quotation, General, Options

**Sub-Menus:** Maintain, Copy, Process, Replies, View, Charges, Score, Journals

**Replies Sub-Menu:** Manage replies, Set RFQ reply defaults, **Compare replies** (highlighted)

**Click to compare reply**

**All requests for quotations**

Filter: [ ] Buyer group: [ ] Vendor account: [ ]

**After entering reply for all vendors**

| Request for ... | Purchase type        | Document title     | Solicitation type | Bid type | Requester        | Lowest status   | Highest status |
|-----------------|----------------------|--------------------|-------------------|----------|------------------|-----------------|----------------|
| INMF-000001     | Purchase requisition | Request for Laptop |                   | Open     | Julia Funderburk | Sent            | Sent           |
| INMF-000003     | Purchase order       | Laptop purchase    |                   | Open     | Julia Funderburk | <b>Received</b> | Received       |

**Compare request for quotation replies | INMF-000003 : JULIA FUNDERBURK**

Filter: [ ] Show: All [ ] Received [ ] Rejected **[X] Accepted** [ ] Unanswered [ ] Declined

| Mark                                | Vendor account | Type   | Line number | Rank | Total score | Total amount | Item number | Product name     | Quantity | Unit |
|-------------------------------------|----------------|--------|-------------|------|-------------|--------------|-------------|------------------|----------|------|
| <input type="checkbox"/>            | INMF-000001    | Header |             |      |             | 2,500.00     |             |                  |          |      |
| <input type="checkbox"/>            | INMF-000001    | Line   | 1           |      |             | 2,500.00     | M0008       | High End Cabinet | 1.00     | ea   |
| <input checked="" type="checkbox"/> | INMF-000002    | Header |             |      |             | 2,000.00     |             |                  |          |      |
| <input checked="" type="checkbox"/> | INMF-000002    | Line   | 1           |      |             | 2,000.00     | M0008       | High End Cabinet | 1.00     | ea   |

**2** Compare and select lines from Vendor which has to be accepted, we can even Accept one line from one vendor and one from another

**Bottom Menu:** New, Delete, Quotation, General, Options

**Sub-Menus:** Maintain, Copy, Process, Replies, View, Charges, Score, **Journals** (highlighted)

**Click to see all Journals**

**All requests for quotations**

Filter: [ ] Buyer group: [ ] Vendor account: [ ]

**Status after accepting one vendor and rejecting another**

| Request for ... | Purchase type        | Document title     | Solicitation type | Bid type | Requester        | Lowest status   | Highest status  |
|-----------------|----------------------|--------------------|-------------------|----------|------------------|-----------------|-----------------|
| INMF-000001     | Purchase requisition | Request for Laptop |                   | Open     | Julia Funderburk | Sent            | Sent            |
| INMF-000003     | Purchase order       | Laptop purchase    |                   | Open     | Julia Funderburk | <b>Rejected</b> | <b>Accepted</b> |

**Preview/Print | Charges | Sales tax | Options**

**INMF-000003 : JULIA FUNDERBURK**

**Request for quotation journals**

**Overview**

| Vendor account | Request for quotation case | Request for quotation | Date      | Status   | Reason | Reason comment | Currency |
|----------------|----------------------------|-----------------------|-----------|----------|--------|----------------|----------|
| INMF-000001    | INMF-000003                | INMF-000003           | 8/28/2020 | Sent     |        |                | INR      |
| INMF-000001    | INMF-000003                | INMF-000003           | 8/28/2020 | Received |        |                | INR      |
| INMF-000001    | INMF-000003                | INMF-000003           | 8/28/2020 | Rejected |        |                | INR      |
| INMF-000002    | INMF-000003                | INMF-000004           | 8/28/2020 | Sent     |        |                | INR      |
| INMF-000002    | INMF-000003                | INMF-000004           | 8/28/2020 | Received |        |                | INR      |
| INMF-000002    | INMF-000003                | INMF-000004           | 8/28/2020 | Accepted |        |                | INR      |

**Lines**

**Charges | Inventory**

| Request for quotation | Line number | Category        | Item number | Product name     | Status | Reason | Reason comment |
|-----------------------|-------------|-----------------|-------------|------------------|--------|--------|----------------|
| INMF-000003           | 1           | OFFICE MACHINES | M0008       | High End Cabinet | Sent   |        |                |

**Note: RFQ can also be directly created for creating > PO or purchase agreement**

## New request for quotation

### General

Request for quotation case

INMF-000003

Currency

INR

Purchase type

Purchase order

Purchase order

Purchase agreement

Purchase requisition

Delivery date

8/28/2020

Expiration date and time

8/28/2020 07:00:00 AM

Project ID

Requesting department

### Delivery address

New

Delivery name

Contoso Entertainment System  
India

Address

Brigade Road  
Bangalore, Bangalore - 560082  
Bangalore  
Karnataka  
IND

OK

Cancel

### Step-6: Final PR Approval and Release approved PR

Procurement and Sourcing > All Purchase requisition > Release approve PR > Select PR line/lines for which PO need to be created > Click on New PO > Select vendor if vendor is not selected in PR

ReleaseOptions

NewPurchase order

MaintainConsolidation opportunities

Related informationPurchase requisition

InventoryOn-hand list

2

Release approved purchase requisitions

Filter

| Consolidation status | Purchase requi... | Line | Currency | Item number | Product name                      | Net amount | Category        |
|----------------------|-------------------|------|----------|-------------|-----------------------------------|------------|-----------------|
| ✓ None               | 000032            | 1    | INR      | M0008       | High End Cabinet / High End Ca... | 0.00       | OFFICE MACHINES |
| ✓ ✓ None             | 000033            | 1    | INR      | M0008       | High End Cabinet / High End Ca... | 0.00       | OFFICE MACHINES |

1

Select lines for which PO should be created

## Add vendors

One or more selected purchase requisition lines do not reference a vendor. Enter the vendors for those lines.

| ✓ | Purchase requisition | Item number | Item name                         | Vendor account | Vendor name    |
|---|----------------------|-------------|-----------------------------------|----------------|----------------|
| ✓ | 000033               | M0008       | High End Cabinet / High End Ca... | INMF-000001    | Alpine ski Hou |

Select vendor if no RFQ or PR did not have Vendor account

OK

Cancel

**Message details**

Automatic purchase creation

- Vendor account: INMF-000001
- Vendor code INMF-000001 is not authorized for M0008 on 8/28/2020.
- Purchase order INMF-000086 has been created.

**Automatic purchase creation**

Release approved purchase requisitions

| Consolidation status | Purchase requisition | Line | Currency | Item number | Product name                      |
|----------------------|----------------------|------|----------|-------------|-----------------------------------|
| None                 | 000032               | 1    | INR      | M0008       | High End Cabinet / High End Ca... |

**Purchase requisitions**

000033 : Request for Laptop

Lines Header Closed

**Line details**

M0008 | 8/28/2020 | INMF-000086 | Warehouse1 | M0008

**DELIVERY TERMS**

Prevent partial delivery  
No

**PREPAYMENT**

Prepayment required  
No

**PURCHASE ORDER CREATION**

Price/discout transfer  
Use policy

Request for quotation case status  
Sent

Consolidation opportunity  
Consolidation opportunity status  
Open

Purchase order  
INMF-000086

Purchase order status  
Open order

**REFERENCES**

Request for quotation case  
INMF-000001

**SALES TAX**

Item sales tax group

Sales tax group

Status will be closed once PO is created for PR, This is the final status of PR

View ref for related documents

## Step-7: Confirm PO

Procurement and Sourcing > All Purchase orders > Open PO > Confirm

**Finance and Operations**

Save + New Delete Purchase order Purchase **Manage** Receive Invoice Retail Warehouse Transportation General Customs Options

Create Credit note Charges Maintain charges Allocate charges Tax Sales tax Calculate Multiline discount Total discount Supplementary items Prepayment Remove prepayment Generate Purchase inquiry Confirmation Pro forma confirmation **Actions** Confirm Finalize Accounting Distribute amounts View distributions Journals Purchase inquiry Purchase order confirmations Send for confirmation Purchase orders sent for confirmation Vendor collaboration View response Purchase order

**All purchase orders**

INMF-000086 INMF-000001 - Alpine ski House India Ltd.

Lines Header Open order **Approved**

**Purchase order header**

**Purchase order lines**

| T... | Budget check r... | Line number | Item number | Product name                      | Procurement category | Variant number | CW quantity | CW unit |
|------|-------------------|-------------|-------------|-----------------------------------|----------------------|----------------|-------------|---------|
| ✓    |                   | 1           | M0008       | High End Cabinet / High End Ca... | OFFICE MACHINES      | INMF-00008     |             |         |

***\*\*\*Important Note: Please use Power Automate for defining email notification using business event on confirming PO and sending PO copy to vendor.***

<https://docs.microsoft.com/en-us/dynamics365/fin-ops-core/dev-itpro/business-events/how-to/how-to-workflow>

***Note: PO can be sort closed, selecting line > update reminder***

***Note: PO workflow can be setup by enabling change management***

#### **Step-8: Product receipt**

Navigate to: Purchase order Receipt and follow up workspace > Post product receipt > Select PO to be received > Enter receipt Quantity > Number etc... > Ok

***Note: Encourage users to use workspace for individual tasks, do not use all purchase order form for product receipt.***

***Note: There is one “feature in update 35” which enables the “Ordered and remaining Quantity” field on Product receipt form which will help user to know what is ordered, received, and remaining.***

***Note: You can have over/under delivery , in case of over delivery system will pick up PO unit price for additional quantity.***

Work items assigned to me ^

Cash advance request : Record returned

Expense reports : Record returned

Catalog : catalog approval

Expense reports : Expense report appro...

Cash advance request : Cash advance a...

Approve travel requisition

Catalog : catalog approval

Business processes for human resources

Business processes for payroll

Cash overview - all companies

Cash overview - current company

Catalog management

Category and product management

Expense management

Feature management

Financial insights

Financial period close

Fixed asset management

General journal processing

Project management

Purchase order confirmation

Purchase order preparation

Purchase order receipt and follow-up

Recruitment management

Released product maintenance

Purchase order receipt and follow-up

Summary

All purchase orders

Lines with delayed receipts

Pending and upcoming work

Delayed receipts, by vendor

Filter

Days forward from today5

Pending receipts, by vendor

Registered not received orders

Returns, by vendor

Find purchase order

Find vendor

We didn't find anything to show here.

Orders not invoiced

0Received

0Returned

Links

Direct delivery

Inquiries ^

Open purchase order lines

Product receipt

Periodic ^

Post receipts list

Post product receipt

Procure

| Product receipt journal                                                                                                                                                                                                                                          |                |                   |           |       |                  |         |             |                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------|-----------|-------|------------------|---------|-------------|---------------------|
| <a href="#">Overview</a> <a href="#">Lines</a> <a href="#">Gate entry details</a>                                                                                                                                                                                |                |                   |           |       |                  |         |             |                     |
| <a href="#">Preview/Print</a> <a href="#">Vouchers</a> <a href="#">View distributions</a> <a href="#">View accounting</a> <a href="#">View charges</a> <a href="#">Correct</a> <a href="#">Cancel</a> <a href="#">History</a> <a href="#">Goods receipt note</a> |                |                   |           |       |                  |         |             |                     |
| ✓ Invoice account                                                                                                                                                                                                                                                | Purchase order | Product rece... ↑ | Date      | Terms | Mode of delivery | Company | Sales order | Posted via inter... |
| INMF-000001                                                                                                                                                                                                                                                      | INMF-000086    | PR56789           | 8/28/2020 |       |                  |         |             |                     |
| INMF-000003                                                                                                                                                                                                                                                      | INMF-000044    | PS010             | 6/1/2016  |       |                  |         |             |                     |
| INMF-000003                                                                                                                                                                                                                                                      | INMF-000011    | PS1               | 8/1/2015  |       |                  |         |             |                     |
| INMF-000001                                                                                                                                                                                                                                                      | INMF-000012    | PS2               | 8/1/2015  |       |                  |         |             |                     |
| INMF-000001                                                                                                                                                                                                                                                      | INMF-000018    | Ps4               | 3/1/2016  |       |                  |         |             |                     |

Navigate to: Vendor invoice entry workspace > product receipt > Select product Receipt > Invoice Now > Enter all the details and validate all information on Invoice form > Post

**Note: New feature, Prohibit submission to workflow when the invoice total and registered invoice total**

**Note: New feature, let invoice be submitted to workflow with incomplete or incorrect accounting distribution**

*Note: new feature, prohibit workflow submission if there are unallocated charges on invoice*

